3.1

Marketing & the Market

Cambridge IGCSE Business

- Role of Marketing
- Market Changes
- Mass vs Niche Markets
- Market Segmentation
- Market Share

What is Marketing?

Marketing is the process of identifying, anticipating and satisfying customer needs profitably.

- Identify customer needs
- Satisfy those needs
- Maintain customer loyalty
- Build long-term relationships
- Anticipate changes in demand

Role of Marketing

Identifying · Satisfying · Retaining · Anticipating

The Role of Marketing – Five Key Functions

Marketing is not just advertising. It covers everything a business does to connect products with customers.

Identifying Customer Needs

Use research to understand what customers want, need and value.

Netflix analyses viewing habits to understand what content subscribers want next.

NETFLIX
Stream everything

Satisfying Customer Needs

Develop products, prices and distribution that meet those identified needs.

Apple's iPhone satisfies demand for a premium, easy-to-use smartphone.

Apple
Premium tech brand

Maintaining Customer Loyalty

Use loyalty schemes, quality and communication to keep customers coming back.

Tesco Clubcard rewards regular shoppers with points and personalised discounts.

Tesco
Every little helps

Building Customer Relationships

Engage customers through social media, email and service to create lasting two-way connections.

Nike's Nike+ app builds a community around running — customers stay in the Nike ecosystem.

✓ Nike
Just Do It

Anticipating Changes in Needs

Monitor trends, technology and society to predict future demand before competitors do.

Spotify anticipated the shift from CDs to streaming and launched a subscription model.

Spotify
Music for everyone

Understanding Market Changes

Spending patterns · Competition · Business responses

Market Changes – Why Consumer Spending Patterns Change

Consumer spending patterns change constantly. Businesses must track these shifts and adapt quickly to stay relevant.

Changes in Income	When incomes rise, people spend more on luxuries. When incomes fall, they cut back on non-essentials.	📌 *During COVID, people cut spending on travel but increased spending on home entertainment.*
Technology & Innovation	New technology creates new products and destroys old markets almost overnight.	📌 *Smartphones eliminated the need for separate cameras, MP3 players, maps and alarm clocks.*
Globalisation	Consumers now have access to goods from around the world, changing tastes and broadening options.	📌 *Sushi, once exotic in the UK, is now sold in Tesco. Korean skincare is sold across Europe.*
Changing Tastes & Fashion	Cultural trends, social media influencers and TV shows rapidly change what people want to buy.	📌 *Stanley cups and Air Force 1 trainers became must-haves due to TikTok trends in 2023.*
Environmental Awareness	Growing concern about climate change is pushing consumers towards sustainable, eco-friendly products.	📌 *EV sales doubled in the UK 2021–2022 as consumers shifted away from petrol cars.*

Market Changes – Competition & How Businesses Respond

Markets are becoming more competitive due to globalisation, the internet and lower barriers to entry.

Why markets are becoming more competitive:

- Globalisation — foreign competitors enter UK markets
- Internet — customers compare prices instantly online
- Lower barriers — cheaper to start and market a business online
- More informed customers — online reviews shape decisions

How businesses respond:

Product innovation – develop new or improved products to stay ahead.
Samsung releases updated Galaxy models annually.

Competitive pricing – match or beat rivals on price.
Aldi undercuts major supermarkets on everyday items.

Increased promotion – raise brand awareness through advertising.
Coca-Cola spends billions globally on advertising.

Enter new markets – expand to countries where competition is lower.
Starbucks expanding into new markets in Asia.

Market Changes – Calculating Market Share

Market share measures what percentage of total market sales belong to one business. It is a key indicator of competitive strength.

Market Share Formula

$$\text{Market Share (\%)} = \frac{\text{Sales of Business}}{\text{Total Market Sales}} \times 100$$

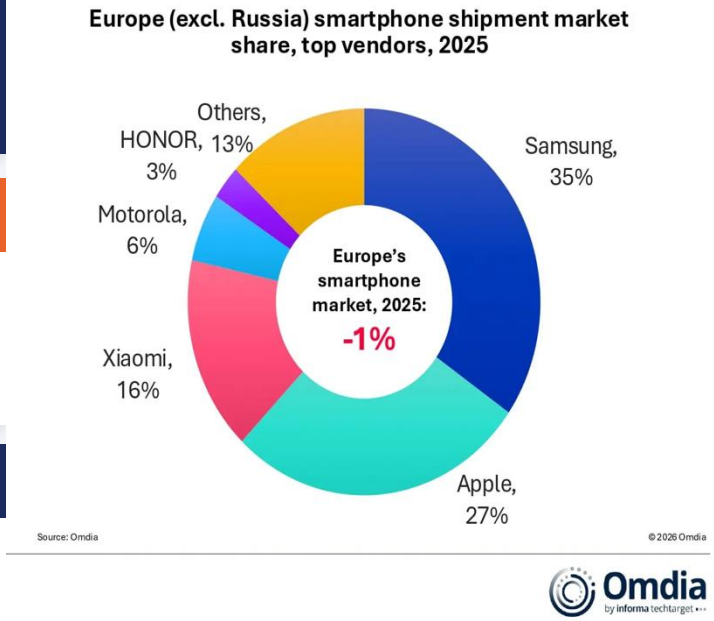
Worked Example

The UK cola market is worth £2,000m per year. Coca-Cola's sales = £840m.

Market Share = 840 ÷ 2000 × 100 = 42%

Why market share matters

- High market share = more revenue and stronger brand
- Market leader can negotiate better deals with suppliers
- Investors prefer businesses with growing market share



Apple and HONOR reached a record high market shares in Europe in 2025, experiencing strong momentum ahead of tricky 2026.

Mass Markets & Niche Markets

Broad appeal vs specialised targeting

Mass Markets vs Niche Markets – The Key Difference

Every market can be approached at scale (mass) or for a specialist group (niche). The right choice shapes your entire marketing mix.

MASS MARKET

Wide audience
Standard product
High volume · Low price

Coca-Cola · McDonald's
Samsung · Tesco

VS

NICHE MARKET

Small specialist group
Tailored product
Low volume · Premium price

Rolls-Royce · GoPro
Lush · Vegan bakeries

	Audience	Product	Price	Sales Volume
Mass Market	Everyone — millions of customers	Standardised — same for all customers	Lower — competitive, affordable for all	Very high — huge number of units sold
Niche Market	A small, specific group of people	Tailored — designed for specialist needs	Higher — premium pricing accepted by fans	Low — smaller customer base by definition

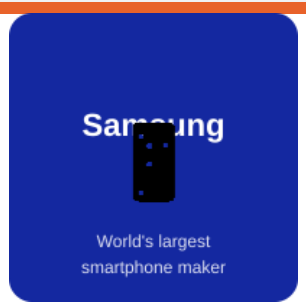
Mass Markets – Real Examples & Advantages vs Disadvantages

A mass market targets the widest possible audience with a standard product and competitive pricing, aiming for maximum sales volume.

Real-world mass market businesses:

Coca-Cola
Sold in 200+ countries.
Billions of servings daily.

McDonald's
69 million customers/day.
Same menu worldwide.



Samsung
World's largest phone maker.
Targets all age groups.

Tesco
UK's biggest supermarket.
Sells to everyone.

Advantages

- Huge sales volume from millions of customers
- Economies of scale reduce unit production costs
- High brand recognition across wide audiences
- Easier to secure shelf space and distribution

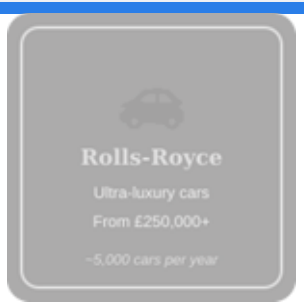
Disadvantages

- Fierce competition — many rivals in same space
- Hard to stand out — product must appeal to everyone
- Lower profit margins due to competitive pricing
- Difficult to build deep customer loyalty at scale

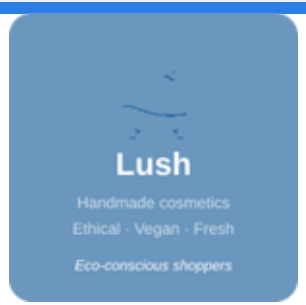
Niche Markets – Real Examples & Advantages vs Disadvantages

A niche market targets a small, specialised group of customers with a tailored product. It sacrifices volume for loyalty and premium pricing.

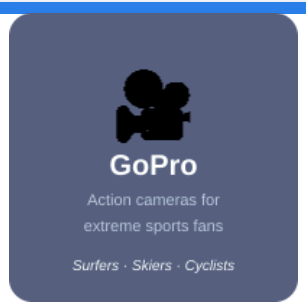
Real-world niche market businesses:



Rolls-Royce
Ultra-luxury cars from £250k.
Only ~5,000 made per year.



Lush
Handmade vegan cosmetics.
Targets ethical shoppers.



GoPro
Action cameras for extreme
sports fans only.

Vegan Bakery
Plant-based baked goods.
Only 6% of UK are vegan.

Advantages

- Less direct competition in a specialist space
- Strong customer loyalty — fans are very dedicated
- Ability to charge premium prices for specialist quality
- Easier to build a clear, focused brand identity

Disadvantages

- Small customer base limits total sales volume
- Vulnerable if niche tastes change or niche disappears
- Harder to achieve economies of scale
- Difficult to grow without moving into mass market

Market Segmentation

Age · Income · Location · Gender · Lifestyle

Market Segmentation – What It Is & Why It Matters

Market segmentation means dividing the total market into smaller groups of customers who share similar characteristics. Businesses then target each segment with a tailored marketing mix.

Age

Different age groups have different needs, tastes and budgets.

Pampers targets parents of babies. Saga holidays targets the over-50s.

Income

High-income customers can afford premium products; low-income seek value.

Primark targets budget shoppers. Rolex targets wealthy customers.

Location

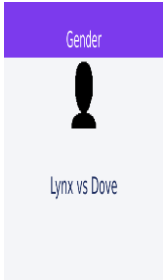
Customers in different areas have different needs, climates and cultural tastes.

An umbrella company sells more in rainy Manchester than sunny Barcelona.

Gender

Some products are specifically designed and marketed for a particular gender.

Lynx deodorant targets men. Dove beauty products targets women.



Lifestyle

Hobbies, values and daily routines affect what people buy.

Red Bull targets active, thrill-seeking young adults. Horlicks targets older relaxing adults.

Market Segmentation – Advantages & Disadvantages

Segmenting a market allows businesses to target customers more precisely — but it also adds cost and complexity.

Advantages

- Better targeting – products tailored to specific needs
- Higher customer satisfaction and loyalty
- Can charge premium prices to specific segments
- More efficient use of marketing budgets
- Helps identify gaps in the market

Disadvantages

- Higher production costs – less standardisation
- Increased marketing costs for multiple campaigns
- Risk of missing customers not in any defined segment
- Segments can change, making research out of date
- Smaller segment size reduces sales volume

Segmentation in action:

Coca-Cola
The iconic red bottle

adidas
Impossible is Nothing

Starbuck
85+ countries

Key Revision Checklist – 3.1 Marketing and the Market

Role of Mktg	5 functions: identify needs, satisfy needs, maintain loyalty, build relationships, anticipate changes
Market Changes	Why patterns change: income, technology, globalisation, tastes, environment — and how businesses respond
Market Share	Formula = (Business sales ÷ Total market sales) × 100 — know how to calculate and why it matters
Mass Markets	Wide audience · standard product · high volume · lower unit costs — examples: Coca-Cola, McDonald's, Samsung, Tesco
Niche Markets	Small specialised group · tailored product · premium pricing · less competition — examples: Rolls-Royce, GoPro, Lush, vegan bakeries
Segmentation	5 bases: age, income, location, gender, lifestyle — advantages (targeting, loyalty) and disadvantages (costs, smaller volume)